KARNATAKA ICSE SCHOOLS ASSOCIATION

ISC STD. XII Preparatory Examination 2026

Subject – ECONOMICS (ANSWER KEY)

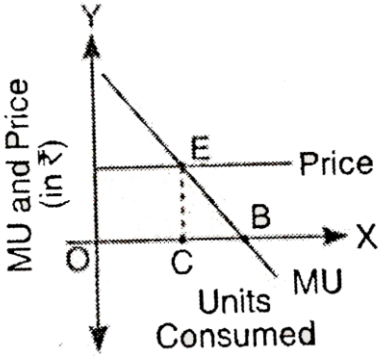
Time Allowed: 3 Hrs **Maximum Marks: 80** **Date: 22.01.2026**

SECTION A- 16 Marks

Question 1

Choose the correct answers to the questions from the given options.
(Do not copy the question, write the correct answers only.)

i. In the following diagram, the situation of Consumer's Equilibrium and Point of Satiety are represented by the points: **[1]**

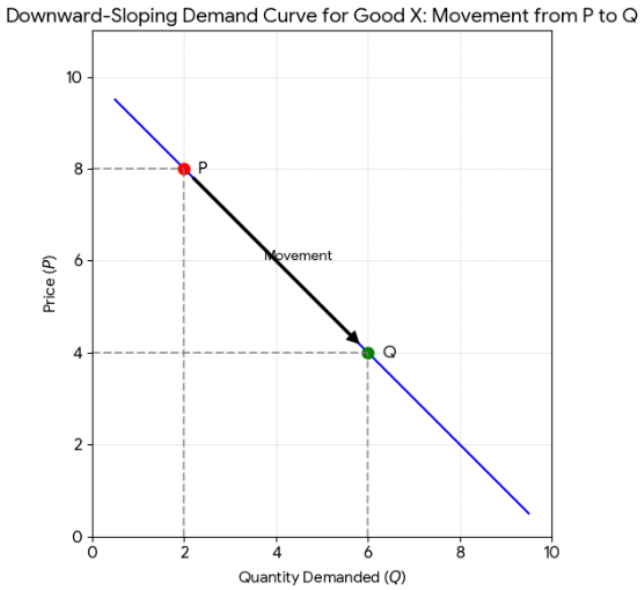


a) Point C and Point E
b) Point E and Point B
c) Point B and Point E
d) Point B and Point C

ii. Mohit derives total utility of 12 Utils after having 5 Mangoes and total Utility on consuming 7 mangoes is 9. What is her marginal utility for the 7th Mango? **[1]**

a) +3 utils
b) 0 util
c) **-3 utils**
d) 21 utils

iii. **[1]**



Which of the following is the correct reason for this movement?

a) ***Decrease in the price of Good X, leading to increase in quantity demanded***

b) Increase in the consumer's income, leading to increase in demand

c) Decrease in the price of substitute goods, leading to increase in demand

d) Government imposes a tax on Good X, shifting the demand curve

iv. The government reduces the GST rate on commodities. What is the MOST likely effect in the market? **[1]**

a) Supply curve shifts left, demand decreases → equilibrium price rises, quantity falls.

b) Supply curve shifts right, demand remains the same → equilibrium price falls, quantity rises.

c) Demand curve shifts right, supply remains the same → equilibrium price rises, quantity rises.

d) Both demand and supply remain unchanged → no change in equilibrium.

v. Which of the following statements is not true for fiscal deficit?
A fiscal deficit:

a) Represents the borrowing of the government

b) Is the difference between total expenditure and total receipts of the government.

c) Is the difference between total expenditure and total receipts other than borrowing.

d) Increases the future liability of the government.

[1]

vi. India's rupee recently hit a record low against the US dollar in 2025. What was cited as a key factor behind this depreciation? **[1]**

a) Massive FDI inflows
b) High remittances from abroad
c) US tariffs on Indian goods and foreign investor outflows
d) India pegging rupee to euro

vii. A café changes its recipe and interior design to attract customers instead of cutting prices. What market form is this? **[1]**

a) Monopoly
b) Oligopoly
c) Monopsony
d) Monopolistic

viii. **Assertion(A)**: Total revenue is at its maximum point when marginal revenue is zero. **[1]**
Reason(R): When every additional unit is sold at the same price, Marginal Revenue = Average Revenue.

a) Both Assertion and Reason are true and Reason is the correct explanation of Assertion.
b) Both Assertion and Reason are true but Reason is not the correct explanation of Assertion.
c) Assertion is true and Reason is false.
d) Both Assertion and Reason are false.

a) **Assertion (A):** Progressive taxation can sometimes lead to a decrease in total tax revenue. **[1]**
Reason (R): Higher marginal tax rates may discourage work effort and lead to tax evasion or avoidance.

a) Both A and R are true, and R is the correct explanation of A.
b) Both A and R are true, but R is not the correct explanation of A.
c) A is true, but R is false.
d) A is false, but R is true.

x. A new small shop tries to enter a neighborhood dominated by a few large supermarkets but finds it difficult due to brand loyalty and economies of scale. Name the market form and reason for the barrier. **[1]**
Ans: Market form: Oligopoly (with entry barriers)
Explanation: Few dominant firms exist; economies of scale and brand loyalty create high entry barriers for new firms.

xi. *Given an MPC is 0.8, What will be the increase in the consumption when income rises by ₹100?* **[1]**
Ans: $\boldsymbol{\Delta C = MPC \times \Delta Y}$
$\boldsymbol{\Delta C = 0.8 \times 100 = 80}$

xii. *"An economy facing unintended accumulation of inventories would try to reduce aggregate demand."Support your answer with valid reason.* **[1]**
Ans) Statement is not correct – Unintended accumulation of inventories arises when aggregate demand is less than aggregate supply. This would pileup the stock with the producers and economy must increase aggregate demand.

xiii. Government takes measures to restrict autonomous imports of gold. Explain the economic values desired to be achieved from this. **[1]**

Ans: Protecting the Balance of Payments (BOP), Stabilizing the Exchange Rate, Controlling Inflation, Ensuring Efficient Allocation of Foreign Exchange

xiv. In a market where many firms sell similar but differentiated products, how can a specific firm, such as a local coffee shop offering its own unique blend, maintain some degree of control over the prices it charges? Explain using this case. **[1]**

Ans: Product Differentiation Gives Brew Haven Some Market Power, Brand Loyalty Allows Partial Price Control, Non-price Competition Strengthens Its Pricing Power

xv. *The government launches a rural employment scheme, injecting ₹200 crore as wages. An economist notes that villagers spend 75% of any additional income they earn. Calculate the multiplier effect for this scheme.* **[1]**

Ans: MPC = 0.75

Multiplier: $k = \frac{1}{1-MPC} = \frac{1}{0.25} = 4$

xvi. India is experiencing a period of deflation, with falling prices, reduced consumer demand, and slowing economic growth. In response, the government promotes initiatives like 'Start-Up India', which encourages new business ventures, and 'Make in India', which aims to boost domestic manufacturing. **[1]**

Explain how such programmes could help revive economic activity and counter the effects of deflation.

Ans: Government support for start-ups and manufacturing creates a chain reaction: wages paid → spent on goods → incomes of others rise → further spending. This multiplier effect magnifies the impact on demand, helping restore economic growth.

SECTION B – 32 MARKS

Question 2

i. *"A sudden rise in health awareness has led to a sharp increase in the consumption of organic food, even though prices remain higher than regular alternatives."* **[2]**

Explain why the demand for organic food increased despite higher prices.

Ans: This illustrates non-price determinants of demand. Change in consumer preferences and tastes (health awareness) caused the demand to rise. The demand curve shifts to the right, showing that demand can increase even if price remains high.

ii. *When the price of good X is* ***₹5, the consumer buys 100 units of good X. At what price would he be willing to purchase 140 units of good X. The price elasticity of good X is ₹2.*** **[2]**

Ans:2 = $\frac{40}{\Delta p}$ **x** $\frac{5}{100}$

ΔP = 1

New Price = 5 – 1 = **₹4**

Question 3

i. **[2]**

"Despite a fiscal deficit of 5.8% of GDP, interest payments consumed a major portion, leaving a primary deficit of only 0.8%."

Interpret what this implies about the government's current-year spending efficiency.

ANS: Low primary deficit shows current spending is largely under control. Most of the

fiscal deficit arises from interest on past borrowings, not excessive new expenditure.

ii. *"During a recession, the government increased healthcare and education spending while keeping taxes low."* **[2]**

Analyse why this type of expenditure is important during a slowdown.

Ans: Revenue expenditure on welfare increases consumption demand when private demand is low. It supports vulnerable groups, preventing further decline in spending. Helps stimulate aggregate demand and mitigate recessionary pressures.

Question 4

i. The total cost curve makes an intercept of ₹50 on the Y axis. Calculate total fixed cost and total variable cost. **[2]**

Output(Units)	1	2	3	4
TC(₹)	65	90	120	160

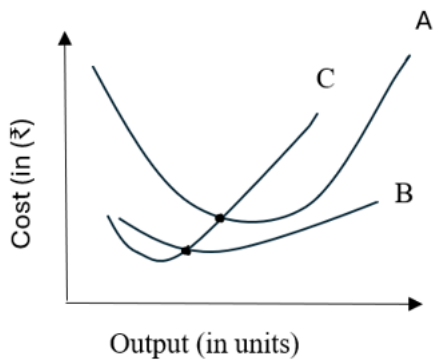
Ans: TFC: 50; TVC: 0,15,40,70,110

ii. Give the behaviour of marginal product and total product as more and more units of only one input are employed while keeping other inputs as constant. **[2]**

Ans: Initially: Marginal product (MP) of labor rises due to better utilization of fixed inputs, so total product (TP) increases at an increasing rate.
Next stage: MP starts falling (diminishing marginal returns), but TP still rises, though at a decreasing rate.
Final stage: MP may become zero or negative, causing TP to stop increasing or decline.
This illustrates the law of variable proportions: when one input increases while others are fixed, MP eventually diminishes, affecting TP.

OR

i. **[4]**



On the basis of given diagram, answer the following questions:

a) Identify the three short run curves
b) Why are all three curves U-shaped?
c) Why does the distance between curve A and curve B fall with rise in output? Will it coincide at any level of output?
d) Why does the minimum point of curve A lie to the right of minimum point of curve B?

Ans: a) Curve A: Average Total Cost (ATC)
Curve B: Average Variable Cost (AVC)
Curve C: Marginal Cost (MC)
b) Average Total Cost (ATC) and Average Variable Cost (AVC) are U-shaped because initially, as output increases, costs per unit decrease due to increasing

returns to the variable input (more efficient use of fixed inputs).
After a point, diminishing returns set in, causing costs per unit to increase.
Marginal Cost (MC) is U-shaped because, initially, adding more units of input reduces the cost of producing an additional unit (due to increasing marginal returns). Eventually, diminishing marginal returns cause the cost of producing an additional unit to rise.
c) The vertical distance between ATC and AVC curves is the Average Fixed Cost (AFC). As output increases, AFC decreases because fixed costs are spread over more units, so the distance narrows. ATC and AVC never coincide completely because fixed costs always exist (AFC > 0 for all positive output). However, as output tends to very large values, AFC approaches zero, and ATC approaches AVC.
d) The minimum point of MC intersects both AVC and ATC at their minimum points. Since ATC includes AFC, which decreases as output increases, the minimum of ATC occurs at a larger output than the minimum of AVC. This means ATC reaches its lowest point after AVC does, as spreading fixed costs over more units lowers ATC more slowly than AVC.

Question 5

i. Explain the implications of the following: **[2]**
   a) 'Perfect knowledge' under Perfect Competition
   b) 'Some degree of price control' under Monopolistic Competition

Ans: a) Buyers and sellers know all prices and market conditions, so no firm can charge more than the market price. This makes every firm a price taker and ensures uniform pricing.
b) In monopolistic competition, each firm sells a differentiated product (brand, quality, features, style). Because of this differentiation, firms face a downward-sloping demand curve, giving them some degree of price control—but far less than a monopoly.

ii. In a remote mining town, there is only one major coal company that hires almost all the local workers. Since the town is isolated and alternative employment opportunities are very limited, workers largely depend on this single employer for jobs. The company often sets wages lower than those offered in nearby cities, and workers have little bargaining power. **[2]**
Identify the type of market described above from the buyer's side. Explain one key feature of this market.
Ans: Monopsony. There is a single buyer of a factor or service (e.g., labour), giving the buyer significant wage-setting or price-setting power.

Question 6

i. Why is the average revenue curve of a firm under perfect competition parallel to X-axis and negatively sloped under monopoly? **[2]**
Ans: Under perfect competition, the firm is a price taker and sells all units at the same market price, so the average revenue (AR) remains constant and the AR curve is horizontal.
Under monopoly, the firm faces the entire market demand, so to sell more, it must lower the price, causing AR to decrease with output, making the AR curve downward sloping.

ii. *"A bakery in a town faces perfect competition. Recently, due to high demand for cakes during the festival season, the bakery was able to sell its cakes at a price higher than its average total cost, earning extra profits. Other bakers in town notice this and plan to start selling cakes too."* **[2]**

Explain why the bakery earns supernormal profits in the short run and what is likely to happen in the long run.

Ans: In the short run, the bakery earns supernormal profits because market price > average total cost. In the long run, new firms enter the market due to these profits, increasing supply, lowering the price, and eliminating supernormal profits, leaving only normal profits.

Question 7

i. *"Foreign portfolio investors pulled out ₹8,000 crore from Indian markets this week as global interest rates rose, causing the rupee to weaken against the dollar."* **[2]**

How does the withdrawal of foreign investment affect India's foreign exchange market and economy?

Ans: Withdrawal reduces supply of foreign currency, causing rupee depreciation. Depreciation may increase import costs and fuel inflation, but can also make exports more competitive.

ii. *A country is experiencing a deficit in its Balance Of Payment due to high import demand and excessive domestic spending. Which fiscal measure is the government likely to adopt in this situation and how will it help in correct the BOP deficit.* **[2]**

Ans : 1. Increase in taxes : An increase in direct taxes will reduce the disposable income of the people and will reduce consumption and decrease in imports.

2. Decrease in government expenditure : Decrease in consumption and investment expenditure by the government will lead to fall in income and fall in imports.

(Any one point)

Question 8

i. With the help of a reason, explain why the following are included in calculation of National Income. **[2]**

a) Rent received by a foreigner from property located in India

b) Earning from a part time job in Mc Donald's by a student.

Ans: a) No, it is not included because the income belongs to a non-resident. It will be part of India's domestic income, but not national income.

b) Yes, It is included in the national income as it is an income received for productive services

ii. "According to the Expenditure Method, Gross Domestic Product (GDP) is calculated by summing up the final expenditures made by all sectors of an economy." **[2]**

In reference to this statement, describe the types of expenditure undertaken by any two sectors.

Ans: **1. Household Sector (Private Consumption Expenditure – C)**

The household sector spends on goods and services to satisfy their wants. This includes expenditure on items such as food, clothing, housing, transportation, healthcare, education, entertainment and other day-to-day needs. All such consumer purchases together are called private final consumption expenditure, and they form a major component of GDP.

2. Government Sector (Government Final Consumption Expenditure – G)

The government spends to provide public goods and services for the welfare of society. This includes expenditure on administration, defense, law and order, public infrastructure, education, healthcare and other public services. Such spending is known as government final consumption expenditure, and it contributes directly to GDP as it supports economic activity and public welfare.

OR

i. Explain how corporate taxes and undistributed profits affect the calculation of Personal Disposable Income. **[2]**

Ans: Corporate taxes are paid by companies out of their profits. Higher corporate taxes reduce the amount of profit available to be distributed as dividends to households. This lowers Personal Income, and therefore reduces Personal Disposable Income.
Undistributed profits are the part of company profits kept as reserves and not given to shareholders. Since households do not receive this amount, it lowers Personal Income, which in turn reduces Personal Disposable Income.

ii. What precautions should be taken while estimating national income by production method? **[2]**

Ans: Count only final goods, not intermediate goods, to avoid double counting.
Include only economic (productive) activities.
Add imputed values like rent of owner-occupied houses.
Ensure proper valuation of output and inventory changes.

Question 9

Outline the steps required to be taken in deriving saving curve from the given consumption curve. Use diagram. **[4]**

Ans: Identify Consumption at Different Incomes:
Take the values of consumption corresponding to different levels of income from the consumption curve.
Calculate Saving:
Use the formula:

$$\text{Saving (S)} = \text{Income (Y)} - \text{Consumption (C)}$$

For each level of income, subtract the consumption from the total income to find saving.
Plot Saving Points:
Plot the calculated saving values on the vertical axis against income on the horizontal axis.
Draw the Saving Curve:
Connect the points smoothly.
The saving curve usually slopes upwards.
It intersects the income axis at the break-even point (where saving = 0, i.e., income = consumption).
Diagram Explanation:
Draw Income (Y) on the X-axis and Saving (S) on the Y-axis.
Mark the break-even point where the saving curve cuts the X-axis.
At incomes below the break-even point, saving is negative (dissaving).
At incomes above the break-even point, saving is positive.

SECTION C - 32 MARKS

Question 10

i. A consumer consumes only 2 goods X and Y whose prices are ₹2 and ₹1 per unit respectively. If the consumer chooses a combination of the two goods with marginal utility of X being 4 and that of Y also being 4, is the consumer in equilibrium? Give reasons. Explain what a rational consumer will do in this situation. Use Marginal Utility Analysis. **[6]**

Ans: **Step 1: Condition for Consumer Equilibrium**
A consumer is in equilibrium (Maximization of utility) when the Marginal Utility per rupee spent on each good is equal:

$$\frac{MU_X}{P_X} = \frac{MU_Y}{P_Y}$$

Step 2: Calculate Marginal Utility per Rupee

$$\frac{MU_X}{P_X} = \frac{4}{2} = 2$$

$$\frac{MU_Y}{P_Y} = \frac{4}{1} = 4$$

Step 3: Check Equilibrium

Since $\frac{MU_X}{P_X} = 2 \neq \frac{MU_Y}{P_Y} = 4$, the consumer is NOT in equilibrium.

Reason: The consumer is getting more utility per rupee from good Y than from good X, so total utility can be increased by spending more on Y and less on X.

Step 4: What a Rational Consumer Will Do

- **A rational consumer reallocates their spending to equalize marginal utility per rupee.**
- **In this case, the consumer will buy more of good Y and less of good X until:**

$$\frac{MU_X}{P_X} = \frac{MU_Y}{P_Y}$$

At this point, the consumer reaches equilibrium and maximizes total utility.

If you want, I can also draw a simple diagram showing the MU per rupee and the adjustment to equilibrium, which makes this explanation visually clear.

ii. A plot of land has a fixed size. As more seeds are sown, the yield per seed initially rises, then starts falling, and finally becomes zero. **[2]**
Which economic concept explains this pattern?
Ans: The pattern described is explained by the Law of Diminishing Marginal Returns (also called Law of Diminishing Marginal Productivity).

Question11

i. *Consumer's equilibrium is always the best possible outcome for a consumer. Evaluate this statement considering that role of budget constraints and consumer preferences*. **[6]**
Ans : Define indifference
Define budget line
Diagrammatic explanation of the consumer's equilibrium through IC Approach Conditions.

ii. *Does a fall in income have the same effect on necessities and inferior goods. Give reason.* **[2]**
Ans : No :

a) **Inferior goods – Fall in Income - Demand increases**
b) **Necessities – Fall in income does not change the demand for commodity.**

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Question 12

i. A smartphone company purchases chips, screens, and batteries to assemble phones. The phones are then sold to customers. **[2]**
Identify intermediate and final goods in this case. Why is it necessary to avoid

including intermediate goods in GDP?

Ans: Intermediate goods: Chips, screens, batteries (used in producing smartphones) Final goods: Smartphones sold to customers

Intermediate goods are excluded from GDP to avoid double counting. Only the value of goods sold to the final user is included, ensuring GDP measures the actual production in the economy.

ii. From the following information, calculate GNP_{MP} by income and expenditure methods. **[6]**

Particulars	₹ in crores
1. Personal consumption expenditure	2,940
2. Social security contribution by Employers	108
3. Net indirect taxes	216
4. Interest	156
5. Government expenditure on goods and services	864
6. Rent	168
7. Undistributed profits	252
8. Dividends	192
9. Wages and Salaries in Cash	2,544
10. Tax on corporate profits	228
11. Net domestic Investment	*396*
12. Depreciation	324
13. Net Exports	36
14. Income of the self employed	372
15. Net factor income from abroad	15

Ans: GNP_{Mp} = ₹4575 crores

Expenditure method: GNP_{mp} = GDP_{mp} +NFIA

4560 + 15 = ₹ 4575 crore

Income method : GNP_{mp} = NDP_{fc} + NIT + Depreciation + NFIA

4020 + 216 + 324 +15 = ₹4575

OR

i. A country reports that its Nominal GDP increased by 8% in a year, while Real GDP increased by only 2%. **[2]**

What does this difference indicate about price levels? What can you infer about inflation?

Ans: The fact that Nominal GDP increased by 8% while Real GDP increased by only 2% indicates that most of the increase in Nominal GDP is due to a rise in prices rather than an increase in actual output. This means price levels in the economy have gone up.

Since the rise in Nominal GDP (8%) is much higher than the rise in Real GDP (2%), it shows that the economy is experiencing significant inflation—approximately 6% (the difference between the two growth rates).

ii. ***Calculate GDP_{mp} and National Income by output method:*** **[6]**

Particulars	*₹ in crores*
1. Net exports	*-50*
2. Value of output of primary sector	*900*
3. Value of output of secondary sector	*800*
4. Value of output of tertiary sector	*400*
5. Intermediate consumption of primary sector	*400*
6. Intermediate consumption of secondary sector	*300*
7. Intermediate consumption of tertiary sector	*100*
8. Consumption of fixed capital	*80*
9. Indirect taxes	*100*
10. Government final consumption expenditure	*100*
11. Subsidies	*10*
12. Net factor income from abroad	*-20*

Ans: NNP_{fc} = ₹ 1,110 crores (GDP_{mp} + NFIA – NIT - Depreciation)
GDP_{mp} = ₹1,300 crores
(900 + 800 + 400) – (400 + 300 + 100)
2100 – 800 = ₹1300 cr

Question 13

"According to the latest quarterly economic report released by the National Economic Survey Authority, the country's ***current account deficit (CAD)*** *widened significantly to* ***₹35 billion*** *in the last quarter, marking the highest deficit seen in the past two years. Economists attribute this widening gap to a sharp rise in* ***imports of crude oil****, driven by both increased global prices and higher domestic demand. At the same time,* ***export earnings from the textile sector*** *fell by nearly 12% due to weakening demand in major international markets such as Europe and the United States. The report also highlights that while the current account showed stress, the* ***capital account*** *remained strong. The economy recorded robust* ***foreign direct investment (FDI)*** *inflows, particularly in the* ***technology and digital services sector****, where multinational companies announced new investment projects worth over ₹20 billion. Analysts believe these inflows have helped ease pressure on the country's foreign exchange reserves. Furthermore, the central bank noted that this mixed performance reflects both challenges and opportunities for the economy. Global uncertainties continue to affect trade flows, while rising investor confidence in the country's technology sector is contributing to healthier capital inflows. Policymakers have emphasized the need to boost export competitiveness and diversify energy sources to avoid long-term dependence on costly imports."*

Balance of Payment

Source: The Economic Times

i. What does the article suggest policymakers should focus on to address long-term economic challenges?
Ans: They should boost export competitiveness and diversify energy sources to reduce dependence on costly crude oil imports. **[1]**

ii. Explain why an increase in imports leads to a current account deficit.
Ans: When imports rise, more money flows out of the country to pay for foreign goods.
If import payments exceed export earnings, the current account shows a deficit **[2]**

because the outflow of foreign exchange is greater than the inflow.

iii. Why do FDI inflows appear in the capital account of the BOP?

Ans: FDI represents foreign investment coming into the country, which brings in financial capital.

Since the capital account records cross-border financial investments and capital movements, FDI is classified under the capital account. **[2]**

iv. If the current account is in deficit but the capital account shows a surplus, explain how the overall BOP may still remain balanced.

Ans: A surplus in the capital account can offset the deficit in the current account. If capital inflows (like FDI) are large enough, they provide additional foreign exchange, allowing the total inflows and outflows to equalize.

Thus, even with a current account deficit, the overall Balance of Payments can remain balanced. **[3]**